

TST Risk Framework

The complete guide to protecting your account before you place a single trade.

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Before you risk a single dollar, you need a framework that protects you from the mistakes that blow up most new traders. Risk management is not optional — it is the difference between staying in the game long enough to get good and going to zero before you learn anything.

The 1% Rule

Never risk more than 1% of your total account on a single trade. On a \$10,000 account, your maximum loss per trade is \$100. This is not a suggestion — it is the rule that keeps you alive long enough to become consistently profitable.

Daily Max Loss

Set a daily maximum loss of 3% of your account. The moment you hit it, stop trading for the day. A bad day becomes a catastrophe when you keep trading to get it back. Walk away. Reset. Come back tomorrow.

Stop Placement

Your stop loss defines when you are wrong. Place it at a level that invalidates your thesis — below support for longs, above resistance for shorts. Never move your stop further from your entry to avoid a loss. That is not risk management, that is hoping.

Position Correlation

If you are long NVDA, AMD, and TSMC simultaneously, you are not in three trades — you are in one large bet on semiconductors. Correlated positions multiply your real risk. Treat correlated positions as one combined position when calculating total exposure.

Position Sizing Formula

$$\text{Shares} = (\text{Account} \times \text{Risk \%}) / (\text{Entry} - \text{Stop})$$

Example: \$10,000 account · 1% risk · Entry \$50 · Stop \$48 Shares = $\$100 / \$2 = 50$ shares maximum

KEY REMINDERS

⇒ Calculate your position size before you enter. Not after.

RISK MANAGEMENT

⇒ A loss is only a problem if it is bigger than planned.

⇒ Consistent risk management compounds over time.

⇒ The goal is not to win every trade. The goal is to stay in the game.

The complete guide to protecting your account before you place a single trade.

⇒ Paper trading counts — practice your risk management before going live.

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This guide covers foundational risk principles. The full TST Academy course goes deeper into position sizing, scaling, and managing live risk in real time.